

ENGLISH **LIVE**

28

COMPREHENSION & VOCABULARY

UPSC / BANK PO / SSC / OTHERS

SESSION - 28

6th MARCH, 2017

Much Ado About Transient Data

Whatever the Q3 growth rate, get on with reforms

On the face of it, the Central Statistics Office's (CSO) second advance estimate of economic activity would suggest that the financial shock of removing 86% of the currency from circulation in an economy where more than 90% of transactions were in cash has not hurt economic growth. Growth in the quarter ending December, when the impact of demonetisation would have been the worst, is estimated to have been 7% and the estimate for 2016-17 as a whole is 7.1%. The robust growth in agriculture, of 6% in Q3 and 4.4% for the whole year, after two years of drought does not quite explain it: after all, agriculture, forestry and fishing account for just 15% of GDP. But there are rational explanations for this seeming mismatch between expectation and outcome.

To begin with, growth in gross value added is forecast to come down sharply from 7.8% last fiscal to 6.7% this year. Only a rise in the indirect tax burden pushes the GDP growth rate above 7%. But how could manufacturing



have grown 8.3% in Q3, faster than 7.7% for the year as a whole? CSO estimates GDP using the financial results of companies and sales tax paid by traders. It is conceivable that quite a few entities declared unusual levels of income and sales, to bring hoarded cash into formal channels and, thus,

presented an inflated picture of economic activity. This bump in activity would disappear in the fourth quarter, if this were so. And the CSO figures imply precisely that: growth in Q4 is expected to turn in at 6.9%. And it is conceivable that when data are firmed up, revised estimates would bring out a different picture, of lower growth in Q3 and the year as a whole.

But how does this matter? The point about demonetisation was not that there would be no short-term pain; rather, it was justified on the expectation that once the bitter pill was swallowed, healthy recovery would follow and the economy would gallop ahead in 2017-18 and thereafter. That remains to be validated or disproved. Meanwhile, the imperatives of goods and services tax and banking reform remain unchanged.

THE ECONOMIC TIMES

2nd March 2017

←

DISCUSSION ON

6th March (Monday)

→

DISCUSSION ON

7th March (tomorrow)

Yesterday once more

A new report compares the global rights scenario today to the 1930s

GARIMELLA SUBRAMANIAM



The opening observation in Amnesty International's latest annual report, that "2016 saw the idea of human dignity and equality, the very notion of a human family, coming under vigorous and relentless assault from powerful narratives of

blame, fear and scapegoating, propagated by those who sought to take or cling on to power almost at any cost", could not have captured in starker terms the current worldwide repudiation of the core ideals enshrined in the 1948 Universal Declaration of Human Rights. The compilation could contribute significantly to alter a general perception about the concerns traditionally championed by the organisation – state repression, torture and extrajudicial executions of guerrilla insurgents in parts of Latin America, Africa and Asia. But the shift in focus points to the more fundamental and universal challenges confronting the post-World War II liberal international order.

The report identifies three most troubling manifestations of the erosion of human rights values. These are the systematic suppression of dissenting voices, a rise in xenophobic and divisive means of political mobilisation and the substitution of an 'us versus them' nationalist narrative for multilateralism. The pervasive and often cross-cutting nature of these influences is self-evident in all the defining economic and political challenges of the day.

THE HINDU

Date: 2nd March, 2017

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Much Ado About Transient Data

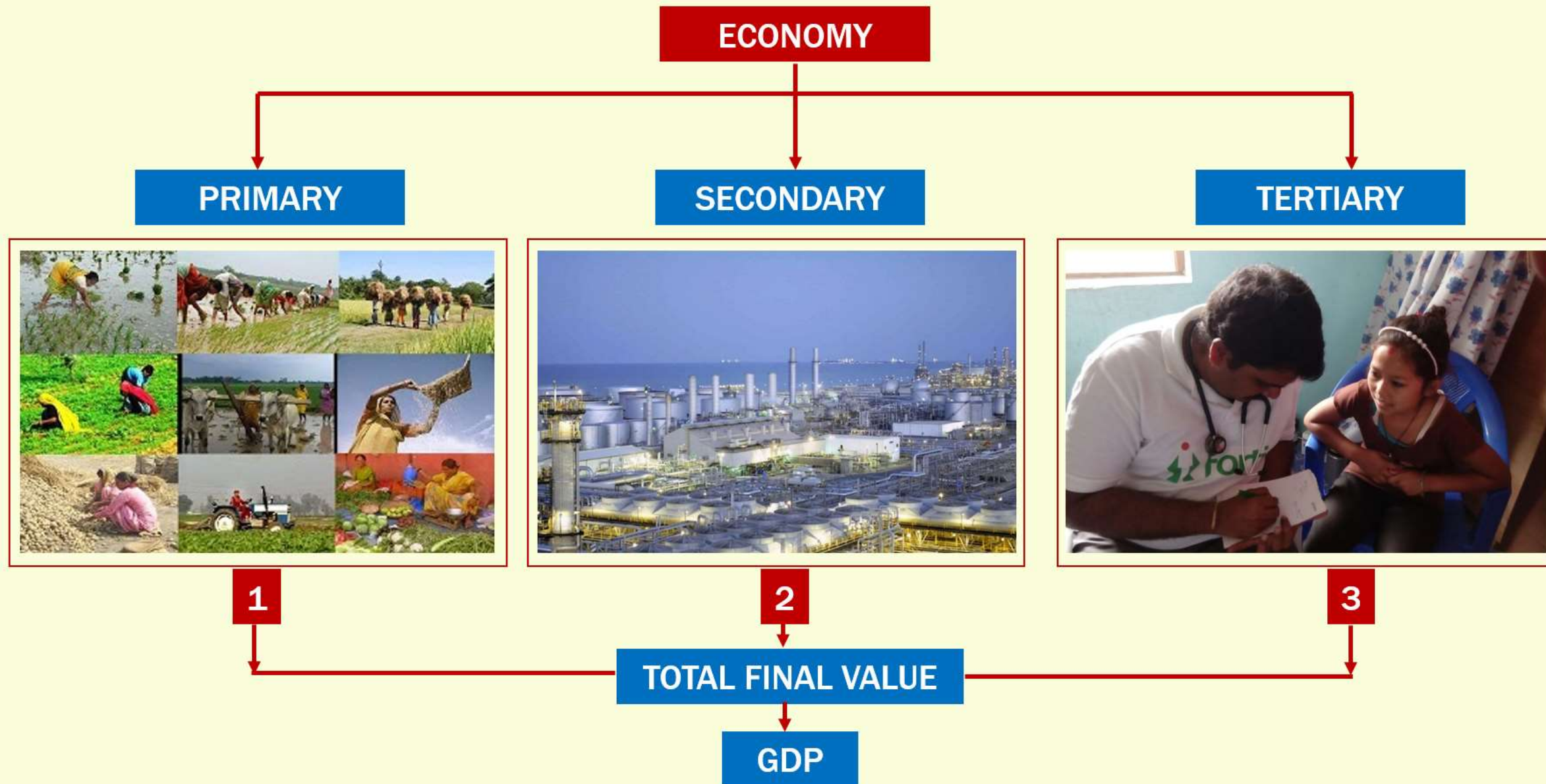
THE ECONOMIC TIMES

2nd March 2017

Much *Ado* About *Transient* Data

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GROSS DOMESTIC PRODUCT



WHEAT
Rs. 20



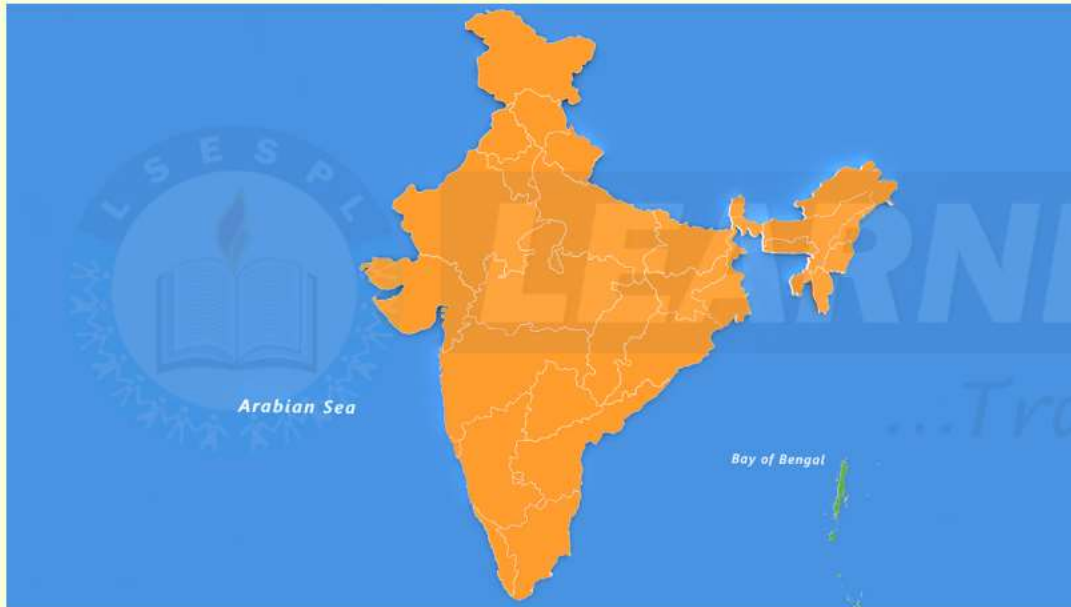
WHEAT FLOUR
Rs. 30



BISCUITS
Rs. 40

Final value of the goods and services is only taken, but not the value of intermediate goods while calculating GDP of any nation.

GROSS DOMESTIC PRODUCT

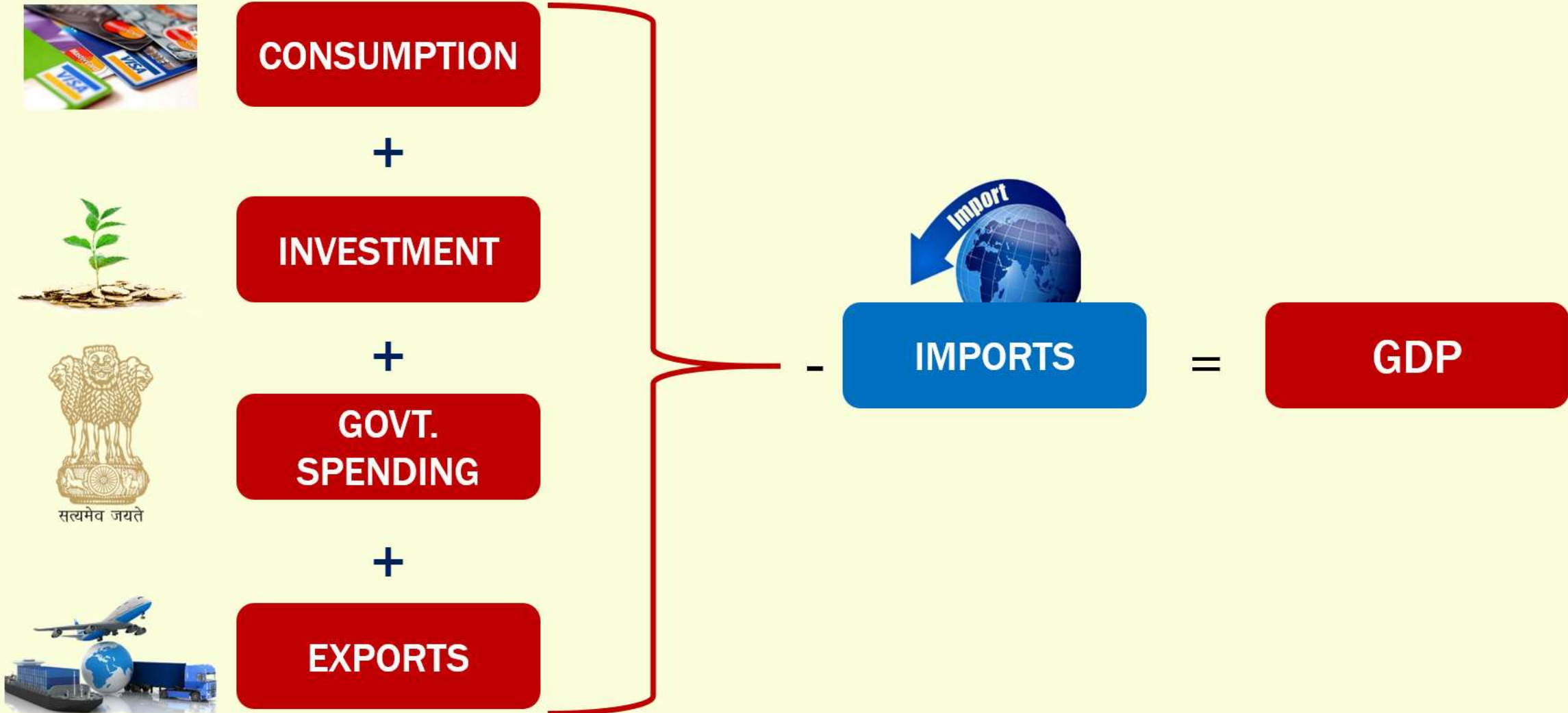


GROSS DOMESTIC PRODUCT

- It is one of the many indicators of standard of living in a country.
- GDP is regardless of ownership
- Here final goods and services produced are taken
- Production is within a country's borders

GROSS DOMESTIC PRODUCT

The total value of final goods and services produced within a country's borders in a year regardless of ownership.



GROSS NATIONAL PRODUCT



GROSS NATIONAL PRODUCT

- $GNP = GDP + \text{Income from the goods and services produced abroad by the nationals} - \text{income from the goods and services produced domestically by the foreign nationals.}$

GROSS NATIONAL PRODUCT

Total value of goods and services produced in a country + net factor income from abroad.



Much Ado About Transient Data

THE ECONOMIC TIMES

2nd March 2017

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Much Ado about nothing

*Politicians quarrel
about seating
arrangements in
some inaugural
functions, it is **much
ado about nothing***



Much Ado about nothing

A lot of excitement about something that
is not important

Transient

*Mumbai has a large
transient population.*



Transient

The issue which lasts only for a short time or you can say temporary

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Robust

*The Indian economy is
robust*



*SBI is quite
robust
organization*

Robust

Strong / healthy / unlikely to fail

Drought

*India has witnessed two consecutive years of **drought** during 2014 and 2015.*



Drought

A long period when there is little or no rain

FAMINE



FAMINE

- Famine is characterised by widespread deaths due to starvation and epidemics caused by forced use of contaminated water or decaying food and loss of body resistance due to weakening from starvation.
- Agricultural labourers / daily labourers are the worst affected due to the food scarcity.

Starvation

*Due to famine in several countries, millions of people are facing **starvation** across sub Saharan Africa.*



Starvation

The state of having no food for a long period often causing death

A severe deficiency in caloric energy intake needed to maintain human life. It is the most extreme form of malnutrition.

Malnutrition

*In India, even after 70 years of independence we have around 40% **malnourished** children.*



- This is the condition that results from eating a diet in which nutrients are not sufficient.
- It may involve calories, proteins, carbohydrates, vitamins or minerals.

Malnutrition

Rationalise



Food subsidy



LPG subsidy



Fertilizer subsidy

Rationalization of subsidies is the need of the hour

Rationalise

To make a company more effective, usually combining or stopping particular activities



Overall, GVA is expected to grow at 6.7%

$GDP = GVA + \text{Indirect taxes} - \text{Subsidies}$

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Conceivable

*The government discussed the probable solutions from every **conceivable** angle.*



Conceivable

Possible to imagine or to believe

Hoarding



*In times of economic uncertainties, **hoarding** of cash expected.*

An act of collecting a lot of money or objects, sometimes secretly

Hoarding

FORMAL SECTOR AND INFORMAL SECTOR

FORMAL SECTOR



**The Andhra Pradesh State
Co-operative Bank Limited**
A Government Partnered Scheduled Bank



FORMAL SECTOR AND INFORMAL SECTOR

INFORMAL SECTOR



MONEY LENDERS



TRADERS



FRIENDS



ORGANISED SECTOR AND UNORGANISED SECTOR

ORGANISED SECTOR

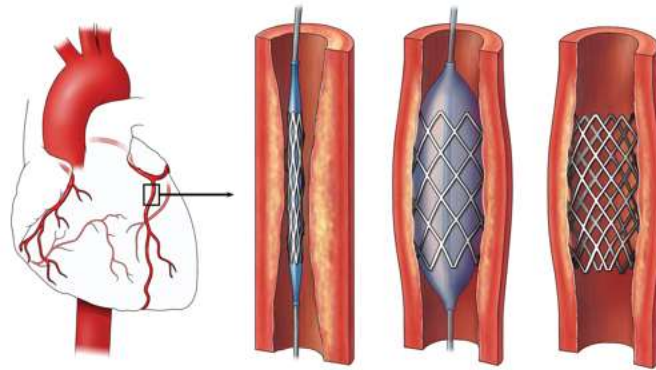


ORGANISED SECTOR AND UNORGANISED SECTOR

UNORGANISED SECTOR



Inflated



Till National Pharmaceutical Pricing Authority (NPPA) imposed a cap on prices, stents were being sold at highly **inflated** prices.

Inflated

To increase the value or price of something, normally higher than the reasonable price, sometimes to deceive the people

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Bump

*There was a **bump** in the number of outbound flights from Vijayawada Airport, as it became part of the capital region for Andhra Pradesh.*



Bump

An increase

Imply

*Rajesh asked for increasing the fresh investment in the company and Arun's silence **implies** his consent.*



Imply

To communicate an idea or feeling without saying it directly

Precisely

*The meeting began at 10 a.m.
precisely.*



Precisely

Exactly

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Rather



*The train was **rather** crowded.*

Rather

To a slight degree



*Ending the civil war in Syria is not a cause for celebration, but **rather** for regret that why it ever happened at the first instance*

Rather

Expressing an opposite opinion

A bitter pill to swallow

*India lost a mathematical genius at a young age of 32 years and it was **a bitter pill to swallow**.*



A bitter pill to swallow

Something that is very unpleasant, but must be accepted

Gallop

African countries
should **gallop** ahead
to reduce the
incidence of poverty /
malnutrition.



Gallop

To move or act quickly

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That remains to be validated or disproved. Meanwhile, the *imperatives* of goods and services tax and banking reform remain unchanged.

Imperative

It is *imperative* that high standards are maintained in our colleges.



Imperative

Extremely important / crucial / urgent

Yesterday once more

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